

SWRS

SOUTHWEST RECOVERY SERVICES

A SOUTHWEST RECOVERY SERVICES WHITE PAPER

The Restoration Cash Flow Crisis

Navigating insurance delays, mortgage checks, and homeowner non-payment — and the operational and legal moves that close the gap between work complete and paid in full.

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Executive summary

The restoration industry operates on a unique and dangerous financial model: you act as the “bank” for your customers. You front the costs for rapid-response labor, equipment, and materials immediately after a disaster — yet you often wait 60, 90, or even 120 days for payment.

This gap is not usually caused by malicious customers; it is systemic. Between insurance adjuster delays, mortgage company “loss draft” departments, and homeowners confused by deductibles, your profit margins are constantly under siege. This white paper outlines the three most common cash-flow killers in the restoration business and provides actionable legal and operational best practices to close the gap.

Part 1: The top 3 industry pitfalls

1. The “loss draft” black hole

When a claim exceeds a certain threshold (often \$10,000+), insurance checks are typically made payable to both the homeowner and their mortgage lender.

The pitfall: the homeowner cannot simply cash the check and pay you. They must mail it to the mortgage company, which puts it into a restricted escrow account. The lender then requires inspections and paperwork before releasing funds in “draws.”

The result: you finish the job, but the money sits frozen in a bank’s loss-draft department for months.

2. The “deductible gap”

Many homeowners mistakenly believe insurance covers 100% of the bill, or they spend the initial “emergency advance” check on personal items rather than your services.

The pitfall: when the final insurance check arrives, it is short by the amount of the deductible (often \$1,000–\$5,000). If you haven’t collected this upfront, the homeowner owes you this balance out-of-pocket.

The result: homeowners “ghost” you over the final balance because they don’t have the cash on hand.

3. Assignment of Benefits (AOB) rejections

Insurance carriers are increasingly hostile toward Assignment of Benefits agreements, using anti-assignment clauses to refuse direct payment to contractors.

The pitfall: relying solely on a handshake or a basic work authorization leaves you with no leverage to speak to the adjuster.

The result: the check goes to the homeowner, who may deposit it and delay paying you — or worse, spend it.

Part 2: Best practices for prevention

1. Operational: collect the deductible first

Treat the deductible like a retainer. It is the only portion of the bill the homeowner is personally responsible for, and it is the hardest to collect after the work is done.

Best practice: make it company policy to collect the deductible (or a significant deposit) **before setting drying equipment**. This validates the customer's ability to pay and covers your initial mobilization costs.

2. Contractual: “Direction to Pay” vs. AOB

While AOB laws vary by state, a Direction to Pay form is a universal necessity to get paid directly.

Best practice: include a specific “Direction to Pay” clause in your work authorization — a direct instruction from the policyholder to the carrier to issue payment to your company.

Pro tip: if the carrier refuses and sends the check to the homeowner, a signed Direction to Pay creates a stronger legal argument that the homeowner has misappropriated funds if they do not hand it over.

3. Administrative: the “mortgage assist” packet

Don't leave the homeowner to fight the mortgage company alone — they will fail, and you will wait.

Best practice: have your office manager proactively call the mortgage loss-draft department with the homeowner on the line to initiate the release. Submit your W-9, final invoice, and Certificate of Completion directly to the lender on the homeowner's behalf.

Part 3: When to engage third-party recovery

Even with perfect paperwork, some accounts will stall. The distinction between a “slow pay” and a “bad debt” in restoration is often the 90-day mark. If you have completed the work and the carrier has released funds, but the homeowner is withholding payment, you have a legal problem — not a billing problem.

The Southwest Recovery Services approach

We specialize in restoration company debt collections, and we understand that the money is often sitting in a logjam — whether with the carrier, the mortgage company, or a stubborn homeowner.

- **We investigate the bottleneck:** is the homeowner refusing to pay, or is the mortgage company holding the check?
- **We leverage lien rights:** we understand the timelines for filing mechanic’s liens to secure your interest in the property.
- **We preserve reputation:** our diplomatic approach recovers your funds without burning bridges in your local market.

Conclusion

Your expertise is restoring properties, not chasing loss-draft departments. By tightening your upfront contracts and partnering with a specialized recovery firm for aged accounts, you can protect your margins and ensure your crews get paid. Don’t let unpaid invoices rot your cash flow.

Stuck on an aged restoration account?

No recovery, no fee. You only pay when we collect.

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